

The resource-based view

07

CHAPTER OBJECTIVES

The resource-based view (RBV) plays an important part in the concept of strategic human resource management. According to Delery and Roumpi (2017), it arguably constitutes one of the most popular theoretical frameworks in the management literature. It is set out in this chapter under the following headings:

- 1 The resource-based view defined
- 2 Antecedents and development of the resource-based view
- 3 Criticisms of the resource-based view
- 4 What resource-based SHRM can offer
- 5 Practical implications

The resource-based view defined

The resource-based view (RBV) states that it is the range of resources in an organization, including its human resources, that produces its unique character and creates sustainable competitive advantage. Barney (1991: 101) noted that the RBV ‘assumes that firms within an industry (or group) may be heterogeneous with respect to the strategic resources they control... These resources may not be perfectly mobile across firms, and thus heterogeneity can be long lasting. And heterogeneous resources create distinct strategic options.’ He made the critical observation (p 105) that:

a firm is said to have a competitive advantage when it is implementing a value-creating strategy not simultaneously being implemented by any current or potential competitors and when these other firms are unable to duplicate the benefits of this strategy. This will happen if their resources are valuable, rare, inimitable and non-substitutable.

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As observed by Boxall and Purcell (2022: 96), Barney ‘distinguishes between a competitive advantage that a firm temporarily enjoys, but that others will be able to copy, and *sustained* competitive advantage that rivals find themselves unable to compete away, despite their best efforts’.

The RBV is associated with human capital theory, which is concerned with the knowledge, skills, abilities and capacity to develop and innovate possessed by people in an organization and the added value they therefore provide. The aim is to enhance the value of the organization’s human capital so that the business can perform successfully in the short and longer term and achieve competitive advantage.

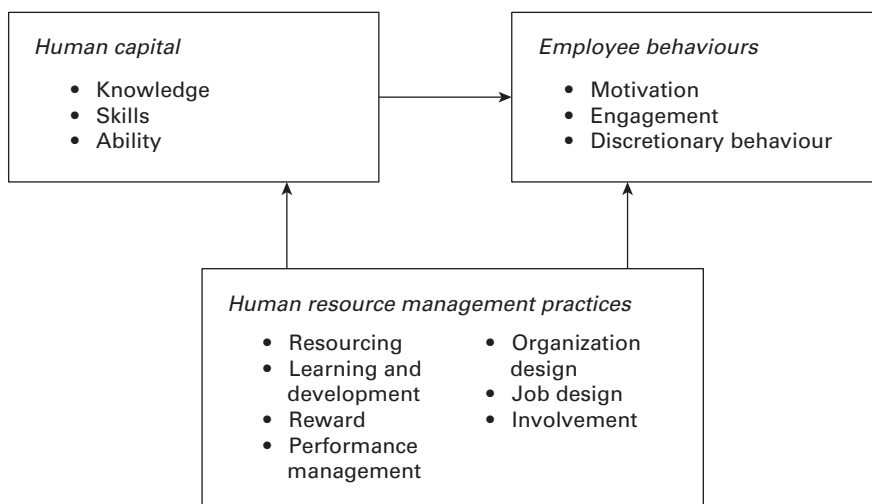
An illustration of the components of the RBV produced by Wright et al (2001: 705) is set out in Figure 7.1.

Kamoche (1996: 214) commented that: ‘In the resource-based view, a firm is regarded as a bundle of tangible and intangible resources required for product/market competition’, and pointed out that resources are ‘a potential source of competitive advantage’ (p 216). He referred to the human resource of firms as: ‘The accumulated stock of knowledge, skills and abilities that the individuals possess which the firm has built up over time into an identifiable expertise.’

The following rationale for strategy based on the RBV was produced by Grant (1991: 13):

The resources and capabilities of a firm are the central considerations in formulating its strategy: they are the primary constants upon which a firm can

Figure 7.1 Components of the resource-based view



establish its identity and frame its strategy, and they are the primary sources of the firm's profitability. The key to a resource-based approach to strategy formulation is understanding the relationships between resources, capabilities, competitive advantage and profitability – in particular, an understanding of the mechanisms through which competitive advantage can be sustained over time. This requires the design of strategies which exploit to maximum effect each firm's unique characteristics.

The features of the RBV as described below include its emphasis on the concept of competitive advantage, its use of the notion of dynamic capabilities, the need to recognize the existence of resource ambiguity, the importance of past experiences (path dependency), and the distinction between human resource practices and human resources and the idea of core competencies.

Competitive advantage

Competitive advantage as originally defined by Michael Porter (1980) is achieved when a business outperforms its competitors thus achieving better results than its rivals and placing the firm in a competitive position. He observed (1985: xxiv) that:

Competitive strategy is a combination of the ends (goals) for which the firm is striving and the means (policies) by which it is seeking to get there... Essentially, developing a competitive strategy is developing a broad formula for how a business is going to compete, what its goals should be, and what policies will be needed to carry out those goals.

Barney (1991: 102) stated that: 'A firm is said to have a *sustained competitive advantage* when it is implementing a value creating strategy not simultaneously being implemented by any current or potential competitor *and* when these other firms are unable to duplicate the strategy.'

The role of dynamic capabilities in the RBV

Dynamic capabilities were defined by Teece et al (1997: 516) as 'the firm's ability to integrate, build, and reconfigure internal and external competences to address rapidly changing environments. Dynamic capabilities thus reflect an organization's capacity to achieve new and innovative forms of competitive advantage given path dependencies and market positions.'

This definition was expanded by Eisenhardt and Martin (2000: 1107) as follows:

The firm's processes that use resources – specifically the processes to integrate, reconfigure, gain and release resources – to match and even create market change. Dynamic capabilities thus are the organizational and strategic routines by which firms achieve new resource configurations as markets emerge, collide, split, evolve, and die.

They went on to assert that the potential for long-term competitive advantage 'lies in using dynamic capabilities sooner, more astutely, or more fortuitously than the competition to create resource configurations that have that advantage' (p 1117).

Causal ambiguity

The extent to which other firms can replicate what others do is limited by 'causal ambiguity'. This exists when, as is quite likely, it is difficult for them to understand the relationship between what a firm does or the resources it has and its performance. As Barney (1991: 109) explained: 'When the link between a firm's resources and its sustained competitive advantage is poorly understood, it is difficult for firms that are attempting to duplicate a successful firm's strategies through imitation of its resources to know which resources to imitate.'

Path dependence

The concept of path dependence – that every firm's past shapes its present and future performance – was originated by Leonard-Barton (1992). Teece et al (1997: 522) suggested that: 'The notion of path dependencies recognizes that 'history matters... bygones are rarely bygones'. Boxall and Purcell (2022: 98) commented that the RBV places 'emphasis on the way that historical learning acts as a barrier to newcomers and slower rivals'. They cited Teece's (2011) observation that competitive success does not come simply from making choices in the present but stems from building up strategic capabilities at critical junctures and over considerable periods of time.

Resource dependence

As defined by Truss et al (2012: 114): 'Resource dependence theory argues that firms are dependent on others in their network for important resources

and the nature of the dependency relationship will impact on the leeway available to the firm to choose its own solutions to managerial dilemmas.’ Truss and her co-writers suggested that this restrains the scope for an organization to exercise free choice on how it deploys its resources. They referred to the comment made by Kinnie et al (2005) to the effect that the networks within which organizations operate may contain firms that are powerful enough to put pressure on the HR systems of other network systems in terms of the recruitment and deployment of staff.

Human resources and human resource practices

A distinction is made by Wright et al (1994: 304) between human resources and human resource practices:

We define *human resources* as the pool of human capital under the firm’s control in a direct employment relationship. Human resource *practices*, on the other hand, are the organizational activities directed at managing the pool of human capital and ensuring that the capital is employed towards the fulfilment of organizational goals.

They noted that: ‘For a resource to be a source of sustained competitive advantage, it must be inimitable because its output is not characterized by causal ambiguity, social complexity or unique historical conditions’ (p 313). They also commented that practice-oriented approaches focus on HR practices as the source of sustained competitive advantage rather than on the human resources themselves. But they argued that, while HR practices are important, ‘they are easily imitated and/or substituted, and thus cannot by themselves be a source of sustained competitive advantage. Therefore, the source of sustained competitive advantage lies in the human resources themselves, not the practices used to attract, utilize and retain them’ (p 317).

Core competencies

The concept of core competencies is associated with the RBV. It was originated by Hamel and Prahalad (1993) who argued that competitive advantage in the long run stems from building ‘core competencies’ in a firm that are superior to those in its rivals. As Snell et al (1996: 61) explained: ‘While core competencies are knowledge-based, they are not solely human. They consist of human capital, social capital (internal/external relationships and exchanges), and organizational capital (processes, technologies, databases).’

Antecedents and development of the resource-based view

The resource-based view was founded on the ideas of Edith Penrose (1959) who wrote that the firm is ‘an administrative organization and a collection of productive resources’ (pp 24–5). She saw resources as ‘bundles of potential services’ and stressed that firms are heterogeneous (p 74), and argued that: ‘It is the heterogeneity... of the productive services available or potentially available that gives each firm its unique character’ (p 75).

As Nelson (1991: 61) commented, competition never entirely eliminates ‘differences among firms in the same line of business’. And Boxall and Purcell (2016: 72) observed later that ‘these differences account for major performance variations’.

The term ‘resource-based view’ was originated by Wernerfelt (1984: 172) who commented that:

For the firm, resources and products are two sides of the same coin. Most products require the services of several resources and most resources can be used in several products. By specifying the size of the firm’s activity in several product markets, it is possible to infer the minimum necessary resource commitments. Conversely, by specifying a resource profile for a firm, it is possible to find the optimal product-market activities.’

He defined resources as those assets that are tied semi-permanently to the firm.

The concept was developed by Barney (1995: 49) who noted that: ‘An environmental analysis of strengths, weaknesses, opportunities and threats (SWOT analysis) was only half the story: a complete understanding of sources of a firm’s competitive advantage requires the analysis of a firm’s internal strengths and weaknesses as well.’ He wrote that: ‘Creating sustained competitive advantage depends on the unique resources and capabilities that a firm brings to competition in its environment’ (p 60).

Criticisms of the resource-based view

The concept of the resource-based view is beguiling but it has been criticized widely by academics (it does not seem to have interested practitioners much – it is not mentioned in the CIPD’s Profession Map or its SHRM fact sheet). The

main criticisms have been that it is inadequate as a theory, tautological, not applicable to all kinds of organizations and contains no prescriptions that would be useful for practitioners.

The RBV is inadequate as a theory

Priem and Butler (2001a) argued that the RBV does not constitute a theory. They questioned the extent of the RBV's explanatory and predictive power and considered that its adoption as a theoretical framework to drive research and understanding was therefore restricted. They commented that the RBV argument is static and descriptive: 'It identifies generic characteristics of rent-generating resources without much attention to differing situations or resource comparisons and has notable limitations for strategic management research' (2001b: 33).

The RBV is tautological

The resource-based view (RBV) theory can be criticized for being tautological. It defines competitive advantage as the possession of valuable, rare, inimitable and non-substitutable (VRIN) resources and it claims that a firm gains a competitive advantage if it has VRIN resources. But these resources are often considered valuable precisely because they lead to a competitive advantage. This can be seen as circular reasoning and suggests that the RBV lacks a clear explanation of what constitutes a competitive advantage.

Priem and Butler (2001a) suggested that the underlying problem is Barney's (1991: 107) statement 'that valuable and rare organizational resources can be a source of competitive advantage'. This, they contended (p 28), means that competitive advantage is defined in terms of value and rarity, and the resource characteristics leading to competitive advantage are also defined in value and rarity terms (i.e. the statement is tautological). They commented later (Priem and Butler, 2001b: 58) that:

Our argument is that the RBV statement 'if a resource is valuable and rare, then it can be a source of competitive advantage' is a tautology if 'valuable' and 'competitive advantage' are defined in the same terms. For example, if valuable resources are defined as those increasing efficiency and/or effectiveness, and competitive advantage is defined as achieving increases in efficiency and/or effectiveness, a tautology exists.

The RBV is not applicable to all kinds of organizations

As Barney (2002) admitted, an important limit to the applicability of the RBV is that it only holds as long as the ‘rules of the game’ in an industry remain relatively fixed. In unpredictable environments, in which new technologies and new markets emerge and the value of resources can drastically change, it is necessary to go beyond the RBV to explain a firm’s sustained competitive advantage.

The RBV also ignores the existence of public sector organizations. Yet the UK had nearly 6 million employees in that sector in June 2023.

The RBV does not help practitioners

Priem and Butler (2001a: 31) contended that ‘a fundamental question for strategy researchers is the utility of the RBV in developing meaningful management tools in the form of actionable prescriptions for practitioners’. They referred to the concept of operational validity devised by Thomas and Tymon (1982: 348) who defined it as ‘the ability of the practitioner to implement the action implications of a theory’. As Priem and Butler pointed out:

Simply advising practitioners to obtain rare and valuable resources in order to achieve competitive advantage and, further, that those resources should be hard to imitate and non-substitutable for sustainable advantage, does not meet the operational validity criterion... Effective prescription must also include, at a minimum, criteria on which each alternative resource can be judged on each resource characteristic.

What resource-based SHRM can offer

In spite of the reservations expressed above, the RBV has a lot to offer. Importantly, it focuses attention on the importance of developing the skills base of the firm. Boxall (1996: 66) observed that the strategic goal emerging from the resource-based view was to ‘create firms which are more intelligent and flexible than their competitors by hiring and developing more talented staff and by extending their skills base’. He explained that resource-based strategy can enhance the human or intellectual capital of the firm: ‘It helps to place emphasis not only on implementing predetermined competitive scenarios but in building strategic capability, on improving the long-term resilience of the firm’ (p 70).

A resource-based approach to SHRM can result in what Boxall and Purcell (2016: 14) referred to as ‘human resource advantage’. They explained that this can be broken down into two dimensions: human capital advantage, which a firm has when it employs more talented people than its rivals, and social capital advantage when a firm adopts better ways of combining the work of people in collaborative activities.

The aim is to achieve strategic fit between resources and opportunities, obtaining added value from the effective deployment of resources and developing managers who can think and plan strategically in the sense that they understand the key strategic issues and ensure that what they do enables the strategic goals of the business to be achieved. In line with human capital theory, the resource-based view emphasizes the need to invest in people in order to increase their value to the firm. And as they commented (p 87):

There is no doubting the fact that the resource-based perspective is an important set of spectacles for viewing the strategic problems facing the firm. It focuses on the analysis of internal strengths and weaknesses, paying particular attention to the ways in which firms can develop valuable resources and erect barriers to imitation of them.

PRACTICAL IMPLICATIONS

- Use the RBV message that people are a major source of sustained competitive advantage to reinforce the business case for investing in talent management, learning and development, enhancing the employee experience, and attracting and retaining high-quality people.
- Pay particular attention to the attraction, development, reward and retention of key employees.
- Find out as much as you can about the human resources and HR practices of competitors to indicate how your organization could do better than them.

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